

TABLE I
FIXED CAPITAL

LAND AND BUILDING			
Description	Details		
Built-up area	300sqm		
Office and stores	50sqm		
Factory shed (workshop, assembling and testing)	250sqm		
Rent payable (₹ per annum)	48,000		
MACHINERY AND EQUIPMENT			
Particulars	Indian/Imported	Quantity	Amount (₹)
(a) Machinery			
Vertical injection-moulding machine	Imported	1	500,000
Air wire stripper	Imported	1	90,000
Wire-twisting machine	Imported	1	20,000
Wire-stripping machine	Imported	1	25,000
Soldering machine (semi-automatic)	Imported	1	25,000
Applicator	Imported	1	25,000
Air press	Imported	1	55,000
Terminating machine	Imported	1	80,000
Precision punch	Imported	1 set	60,000
(b) Testing equipment			
Mili-ohm meter	Indian	4	50,000
Insulation tester (megger)	Indian	1	50,000
High-voltage breakdown tester	Indian	1	20,000
Insertions and withdrawal force tester	Indian	4	48,000
Testing gauge for crimp system	Indian	4	32,000
Electrification @ 10% machinery and equipment			103,500
Tools, jigs, fixtures, soldering iron and stations			15,000
Office equipment/furniture			75,000
Pre-operative expenses			10,500
Total fixed capital			1,284,000

regarding detailed rules to regulate ozone-depleting substances phase-out under Environment Protection Act, 1986 was put in place with effect from July 19, 2000.

Energy conservation. With growing energy needs and shortages coupled with rising energy costs, a greater thrust in energy efficiency in the industrial sector is being given by the government of India since 1980s. Energy Conservation Act, 2001 was enacted on August 18, 2001, which provides for efficient use of energy, its conservation and capacity building. The following steps may help with the conservation of electrical energy:

1. Adoption of energy-conserving technologies, production aids and testing facilities
2. Efficient management of process/manufacturing machineries and systems, QC and testing equipment for

yielding maximum energy conservation

3. Optimum use of electrical energy for heating during soldering process can be obtained by using efficient temperature-controlled soldering and de-soldering stations

4. Periodical maintenance of motors, compressors and the like

5. Use of power-factor correction capacitors, proper selection and layout of lighting systems, timely switching on/off of lights, use of compact fluorescent lamps, wherever possible, and so on

Raw materials and equipment

Basic raw materials needed for a crimped-wire connector are listed below.

1. Plastic parts
2. Plastic moulding powder
3. Brass, phosphorus, bronze strips

4. PVC wires

5. Consumables and packaging material

You must procure some basic machinery and equipment for this business. These are given below.

Machinery and equipment. These include:

1. Vertical injection-moulding machine

2. Air wire stripper

3. Wire-twisting machine

4. Wire-stripping machine

5. Soldering machine (semi-automatic)

6. Applicator

7. Air press

8. Terminating machine

9. Precision punch

Testing equipment. These include:

1. Milli-ohm meter

2. Insulation tester

3. High-voltage breakdown tester

4. Insertions and withdrawal force tester

5. Testing gauge for crimp system

In addition, arrange utilities like water and electricity. Further, a medium- and large-scale unit needs 300sqm area for its operation.

Business economics

An indicative analysis has been given on the following basis and presumptions:

1. Basis for calculation of production capacity is taken on a single shift of eight hours per day basis on 75 per cent efficiency.

2. Maximum capacity utilisation on single-shift basis for 300 days a year is considered. During the first and second years of operations, capacity utilisation is 60 and 80 per cent, respectively. The unit is expected to achieve full capacity utilisation from third year onwards.

3. Salaries and wages, cost of raw materials, utilities, civil construction, etc are based on prevailing rates in and around north India. These cost factors are likely to vary with time and location.

4. Interest on term loan and working capital loans are taken at the rate of 16 per cent on an average. This rate may vary depending upon the policy of the financial institution/agency from time to time.